

Graham and Dodd would have had trouble embracing one type of alternative investment—venture capital—because they would be unlikely to find a margin of safety in it.⁴ While there is often the prospect of enormous upside in such an investment, there is also a very high risk of failure. Nor is it clear how to evaluate fledgling enterprises to see if the potential return justifies the risk. Naturally, investors with considerable risk tolerance and sophistication will want to participate in the businesses of tomorrow (and to buy in before they come public at what are generally particularly lofty valuations), by allocating a limited portion of capital to this sector while expecting a very bumpy ride. But investors should take note that the venture capital returns of 2020–2021 are virtually unprecedented and have benefitted greatly from exuberant public market valuations. Further, capital inflows have caused deal pricing at every stage of venture investing to be bid up considerably, increasing the probability that future returns will be lower.

These accelerating flows of capital into early-stage companies increases the likelihood that these nascent businesses may face intensified competition in the future. It's unclear whether the businesses enabled by ongoing technological advances can withstand the competitive forces unleashed by the burgeoning volumes of venture capital looking to back their current and future competitors.

Hedge funds, another alternative-asset class, and one with more than \$3 trillions of capital under management, are pools of capital that invest in a wide array of instruments and markets and do so in varied ways. They are considered a category mainly because they have a common fee structure that typically pays the manager 1% to 2% of assets under management annually and roughly 20% (and sometimes

⁴ Nor would they find one in highly leveraged buyouts, where businesses are purchased at high prices using mostly debt financing and a thin layer of equity capital. The only value-investing rationale for venture capital or leveraged buyouts might be if they were regarded as mispriced call options.